DIGITAL ASSETS AND THE PROPERTY QUESTION

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Abstract

Is crypto property? The proliferation of digital assets such as cryptocurrencies, stablecoins, memecoins, and NFTs has confronted legal systems worldwide with three interdependent challenges: determining whether they are property, identifying their appropriate classification within property taxonomies, and establishing rules for their circulation in commerce. Our Article addresses this tripartite question—the *Property Question*—within American law.

The stakes here are significant. Billions of dollars in digital assets are traded daily, used as collateral, and held by custodial platforms. Yet all these transactions rest on an unresolved premise: that digital assets can be owned and are governed by established property rules. This fundamental uncertainty affects everything, spanning the recovery of stolen cryptocurrencies, customers' rights in crypto platform bankruptcies, good faith purchaser protections, and even tax and accounting.

This Article makes two primary contributions. First, we provide a comprehensive analysis of digital assets as property under American law, examining both the historical development and the current framework under the new Article 12 of the Uniform Commercial Code. Second, through this investigation, we illuminate a broader pattern in the evolution of American property law: formalistic reasoning and traditional categories, such as *choses* in action and *choses* in possession, have given way to a more functional approach that prioritizes alignment with market practices and societal expectations.

Answering the *Property Question* yields significant normative insights. We clarify uncertainties that presently beset property rights in digital asset markets, thereby establishing solid foundations for regulatory interventions in this space. Furthermore, our analysis sheds light on how American law understands and governs personal property, revealing a distinct approach that favors pragmatism

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over doctrinal purity. Together, these insights not only help us navigate the rapid evolution of digital assets but also offer a blueprint for incorporating future forms of intangible property into our legal system.

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INTRODUCTION

The story of crypto presents a striking paradox. From Main Street to Wall Street and, most recently, the White House—what began in 2009 as an idealistic experiment in digital cash has exploded into a complex multi-trillion ecosystem that increasingly intertwines with traditional finance and global commerce.[1] Major institutions like BlackRock and Fidelity now offer cryptocurrency services, payment giants facilitate digital asset transactions for hundreds of millions of users, and even traditionally skeptical governments are embracing these novel assets.[2] Yet beneath this remarkable growth lies a fundamental uncertainty: **what exactly are digital assets?** More specifically, from a private law perspective, how should the law treat these intangible, code-controlled assets that exist purely as entries on distributed ledgers? Are they property? If so, how do they fit within existing property taxonomies? And what rules should govern their circulation in commerce?

This tripartite inquiry (which we moniker, the *Property Question*) is far from academic. Every day, market participants execute millions of transactions worth billions of dollars, relying on an uncertain patchwork of traditional legal frameworks awkwardly adapted to this new technology.[3] The practical implications are both immediate and far-reaching. When digital assets are stolen through hacks or fraud, courts must grapple with whether they constitute "property" that can be recovered through traditional remedies like conversion

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[1] Satoshi Nakamoto, *Bitcoin: A Peer-to-Peer Electronic Cash System*, BITCOIN.ORG https://bitcoin.org/bitcoin.pdf. [https://perma.cc/MN3P-KSPJ]; Bernard Marr, *Bitcoin's Trillion-Dollar Comeback: The Market Shift You Can't Ignore*, FORBES (Dec. 9, 2024), https://www.forbes.com/sites/bernardmarr/2024/12/09/bitcoins-trillion-dollar-comeback-the-market-shift-you-cant-ignore/ (last visited Feb. 16, 2025); James Royal, *Bitcoin Price History: From Its 2009 Launch to its 2025 Heights*, BANKRATE, https://www.bankrate.com/investing/bitcoin-price-history/ (last visited Feb. 16, 2025); Exec. Order No. 14067, 90 Fed. Reg. 8647 (Jan. 23, 2025), https://www.whitehouse.gov/presidential-actions/2025/01/strengthening-american-leadership-in-digital-financial-technology/.

[2] *Bitcoin Investing*, BLACKROCK, https://www.blackrock.com/us/financial-professionals/investments/products/bitcoin-investing (last visited Feb. 16, 2025); *Crypto Trading*, FIDELITY, https://www.fidelity.com/crypto/trading (last visited Feb. 16, 2025); Jay Peters, *PayPal and Visa Embrace Blockchain Stablecoins*, THE VERGE (Oct. 3, 2024), https://www.theverge.com/2024/10/3/24261453/paypal-visa-blockchain-stablecoins (last visited Feb. 16, 2025); Emma Pecenicic: "El Bitcoin es un Buen Diversificador. Tiene sentido asignar un porcentaje de la cartera a este active," CINCO DÍAS (Nov. 25, 2024), https://cincodias.elpais.com/criptoactivos/2024-11-25/emma-pecenicic-fidelity-el-bitcoin-es-un-buen-diversificador-tiene-sentido-asignar-un-porcentaje-de-la-cartera-a-este-activo.html (last visited Feb. 16, 2025).

[3] *Trading Volume*, COINCODEX, https://coincodex.com/trading-volume/ (last visited Feb. 14, 2025).

and replevin.[4] When these assets are pledged as collateral in lending arrangements—a market that reached $130 billion in 2024—lenders need clarity on how to perfect and enforce their security interests against both the borrower and third parties.[5] When major crypto platforms like FTX, Celsius, and Genesis become insolvent, bankruptcy courts must navigate complex questions about whether customers' digital asset deposits belong to the debtor's estate or else constitute separately owned property that should be returned to account holders.[6] Even routine business matters, from recording digital assets on balance sheets to determining their tax treatment, hinge on their fundamental legal characterization.[7] And the stakes of these questions have only grown as institutional investors, banks, and payment processors have entered the digital asset ecosystem, bringing with them the need for clear legal frameworks that can support sophisticated commercial arrangements.[8]

The legal systems of major jurisdictions across the globe have responded to the challenges of the Property Question in dramatically different ways. Common law jurisdictions outside the United States have recognized digital assets as property, yet have remained entangled in a theoretical debate about their classification.[9] This formalistic preoccupation has impeded the development of rules governing their use in market transactions, resulting in a problematic legal *lacuna*.[10] In the United States, by contrast, these taxonomy questions have largely been ignored.[11] Instead, American courts have pragmatically accepted digital assets as property and focused primarily on trying

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[4] *See, e.g.*, Ox Labs, Inc. v. BitPay, Inc., No. CV 18-5934 (KSX), 2020 WL 1039012 (C.D. Cal. Jan. 24, 2020); Temurian v. Piccolo, No. 18-cv-62737, 2019 WL 1763022 (S.D. Fla. Apr. 22, 2019) (discussing conversion claims for misappropriated digital assets).

[5] *See Lending Protocols*, DEFI LLAMA, https://defillama.com/protocols/lending (last visited Feb. 14, 2025).

[6] *See* In re Celsius Network LLC, 644 B.R. 276, 280 (Bankr. S.D.N.Y. 2022); In re FTX Trading Ltd., No. 22-11068, 2024 WL 4562675 (Bankr. D. Del. Oct. 23, 2024); In re Genesis Glob. Holdco, LLC, 652 B.R. 618, 623 (Bankr. S.D.N.Y. 2023). *See also* Kara Bruce et al., *Bankrupt Crypto Organizations*, N.C. L. REV. (forthcoming 2025) https://papers.ssrn.com/sol3/papers.cfm?abstract_id=5115277.

[7] *See* Fin. Acct. Standards Bd., *Accounting for and Disclosure of Crypto Assets, Accounting Standards Update 2023-08*, FASB (Dec. 2023), https://www.fasb.org/page/PageContent?pageId=/projects/recentlycompleted/accounting-for-and-disclosure-of-crypto-assets.html; *See also* I.R.S. Notice 2014-21, 2014-16 I.R.B. 938 (providing guidance on taxation of virtual currencies).

[8] U.S. DEP'T OF THE TREASURY, FIN. STABILITY OVERSIGHT COUNCIL, *Report on Digital Asset Financial Stability Risks and Regulation* (2023), https://home.treasury.gov/system/files/261/FSOC2023AnnualReport.pdf (emphasizing increased institutional participation in digital asset markets).

[9] *See infra* Parts II.B and III.B.

[10] *See infra* Parts II.B and III.B.

[11] *See infra* Parts II.B and III.B.